BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: White Mountain Health Center, Inc.	)	Docket No.: 2024C-MMR-T0037-DHS NOTICE OF INTENT TO REVOKE DISPENSARY REGISTRATION CERTIFICATE AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services ("Department") is charged by Arizona Revised Statutes, A.R.S. § 36-132(A)(1), with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department ("Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Arizona Medical Marijuana Act ("AMMA"), A.R.S. § 36-2801 *et seq*., was passed in November 2010 and became effective December 2010. Rules adopted by the Department to implement the AMMA, Arizona Administrative Code ("A.A.C.") R9-17-101 *et seq*., became effective April 14, 2011, as thereafter amended ("Rules"). *See* A.R.S. § 36-2803 (giving the Department rulemaking authority under the AMMA).

The Department was required to adopt Rules "[g]overning nonprofit medical marijuana dispensaries to protect against diversion and theft[,]" including "[m]inimum oversight requirements," "[m]inimum recordkeeping requirements," and "minimum security requirements." A.R.S. § 36-2803(A)(4); *see also* A.R.S. §§ 36-2804(B)(1)(c), -2806(B) (dispensary must have operating procedures consistent with Rules for oversight, including procedures to ensure accurate record-keeping and adequate security measures). The AMMA and Rules provisions applicable to this matter include the following:

Under the Rules, "[a] dispensary shall establish and implement an inventory control system for the dispensary's medical marijuana and marijuana products that documents . . . [a]cquisitions according to subsection (B)," which authorizes acquisitions from the dispensary's cultivation site, another dispensary, a licensed adult-use marijuana establishment, a qualifying patient, or a designated caregiver. A.A.C. R9-17-316(C)(1)(b). The dispensary must designate in writing an individual to have "oversight of the dispensary's medical marijuana inventory control system." A.A.C. R9-17-316(A). This person "shall conduct and document an audit of the dispensary's inventory that is accounted for according to generally accepted accounting principles at least once every 30 calendar days." A.A.C. R9-17-316(D). "If the audit identifies a reduction in the amount of medical marijuana or a marijuana product in the dispensary's inventory not due to documented causes, the dispensary shall determine and document where the loss has occurred and take and document corrective action." A.A.C. R9-17-316(D)(1).

The Department may revoke a nonprofit medical marijuana dispensary's registration certificate if the dispensary is not in substantial compliance with the AMMA and the Rules. A.R.S. § 36-2816(F). In addition, the Department was required to adopt rules governing the procedures for "suspending or revoking the registration certificate of nonprofit medical marijuana dispensaries that violate [the AMMA] or the [R]ules." A.R.S. § 36-2803(A)(4)(e). Based on this authority, the Department adopted A.A.C. R9-17-322(D), which authorizes the Department to revoke the dispensary registration certificate of a dispensary that:

1. Does not comply with the requirements of the AMMA or the Rules; or
2. Fails to implement the policies and procedures or comply with the statements provided to the Department with the dispensary's application.

II. DISPENSARY REGISTRATION CERTIFICATE HISTORY

White Mountain Health Center, Inc. ("White Mountain") applied for and was awarded a dispensary registration certificate (No. 00000103DCDR00369521), effective November 25, 2013 (the "Certificate"). White Mountain's non-profit medical marijuana dispensary is currently located at 9420 W. Bell Rd., Ste. 108, Sun City, AZ 85351 (the "Dispensary"). The Certificate has a current

expiration date of January 21, 2025.

III. REASONS FOR DEPARTMENT'S INTENT TO REVOKE THE CERTIFICATE

On June 16, 2023, the Department conducted a compliance inspection at the Dispensary. During the inspection, Department Compliance Officers ("Compliance Officers") observed one (1) violation of the AMMA and the Rules, which was noted in a Statement of Deficiencies that was subsequently provided to White Mountain ("Dispensary SOD"). The Dispensary SOD includes the following violations.

A. Violation of A.A.C. R9-17-316(C)(1)(b), -316(D)(1)

The Dispensary failed to ensure that the designated individual "conduct[s] and document[s] an audit of the dispensary's inventory that is accounted for according to generally accepted accounting principles at least once every 30 calendar days," and "[i]f the audit identifies a reduction in the amount of medical marijuana or a marijuana product in the dispensary's inventory not due to documented causes, the dispensary shall determine and document where the loss has occurred and take and document corrective action." A.A.C. R9-17-316(D)(1).

A documentation review of invoice #202916 showed an internal transfer from White Mountain's cultivation site, Riggs Family Farm ("RFF"), to the Dispensary. The invoice showed that the Dispensary did not account for the inventory that aligns with generally accepted accounting principles.

An interview with FA8 revealed that the Dispensary never received 991.00 grams of "RFF distillate Batch# 7102 2280 2637 1960 (0745 3018 7364 3691)," despite records showing that intake and billing for that batch occurred on "May 11, 2023." FA8 reported that it is a standard practice for product invoices to be processed through the Dispensary's accounting system for a dollar amount assignment without the expectation of actually receiving the physical product. Records showed that the Dispensary added "RFF distillate Batch# 7102 2280 2637 1960" to its new inventory screen then invoiced/transferred out the product for a dollar amount assignment as conveyed by FA8. The Dispensary failed to appropriately document this acquisition, as required by A.A.C. R9-17-316(C)(1)(b). The Dispensary also had no record that the designated individual

conducted an audit according to generally accepted accounting principles that documented the status of "RFF distillate Batch# 7102 2280 2637 1960 (0745 3018 7364 3691)," including whether it was received or transferred out of inventory for reconciliation purposes.

The Dispensary's records of "purchase order # 202916" with "batch #7102 2280 2637 1960 (0745 3018 7364 3691)" revealed that the Dispensary paid for the order with check #1048 on May 11, 2023. Additionally, FA7 conveyed responsibility for accounting regarding RFF, Flav, and Sweet Science vendors associated with White Mountain.

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and pursuant to A.R.S. § 36-2816(F) and A.A.C. R9-17-322(D), the Department intends to revoke White Mountain's Certificate (No. 00000103DCDR00369521) for failure to comply with the AMMA and the Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Dispensary Registration Certificate ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Megan Whitby, Deputy Assistant Director, Public Health Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite 410, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of 78White Mountain's Certificate (No. 00000103DCDR00369521) **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of White Mountain's Certificate will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 13th day of October, 2023.

ARIZONA DEPARTMENT OF HEALTH SERVICES

McKenna Baker
Director's Designee

ORIGINAL filed this 13th day of October, 2023, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 13th day of October, 2023 to:

Lloyd Levidow, Owner
Jeffrey Scott Kaufman, Owner
Russell Clayton Riggs, Owner
Daryl Wayne Williams Jr, Owner
White Mountain Health Center, Inc.
9420 West Bell Road, Suite 108
Sun City, AZ 85351

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 13th day of October, 2023, to:

Lloyd Levidow, Owner
Jeffrey Scott Kaufman, Owner
Russell Clayton Riggs, Owner
Daryl Wayne Williams Jr, Owner
White Mountain Health Center, Inc.
9420 West Bell Road, Suite 108
Sun City, AZ 85351

Tom Salow, Assistant Director
Megan Whitby, Deputy Assistant Director
Kim Crawford, Deputy Bureau Chief
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